WEEKLY SHIP RECYCLING REPORT

bestoasis

1st October 2021 to 8th October 2021

Highlights of the Week

The macroeconomic barometer indicates that the global demand for steel is going to remain buoyant as the key end-use markets of finished steel especially the construction and manufacturing sector are ascending. Even though the subcontinent recycling market has not seen any significant improvement in price and activity since past few weeks, prices are expected to remain range bound due to the prevailing scarcity of tonnage in the demolition market.

The world is facing an energy crunch as the supply of natural gas, coal and other energy sources fails to adequately satisfy demand. Global supply chain has crumbled with a sudden increase witnessed in the consumer demand whereas the production disruptions caused by the pandemic have failed to bounce back in the same pace.

Oil prices are climbing around the world and the current price trajectory is the result of supply moderating while the demand heads skyward. The reopening of the global economy is sending up the oil demand whereas the OPEC isn't raising supply significantly, in a bid to keep prices at profitable levels.

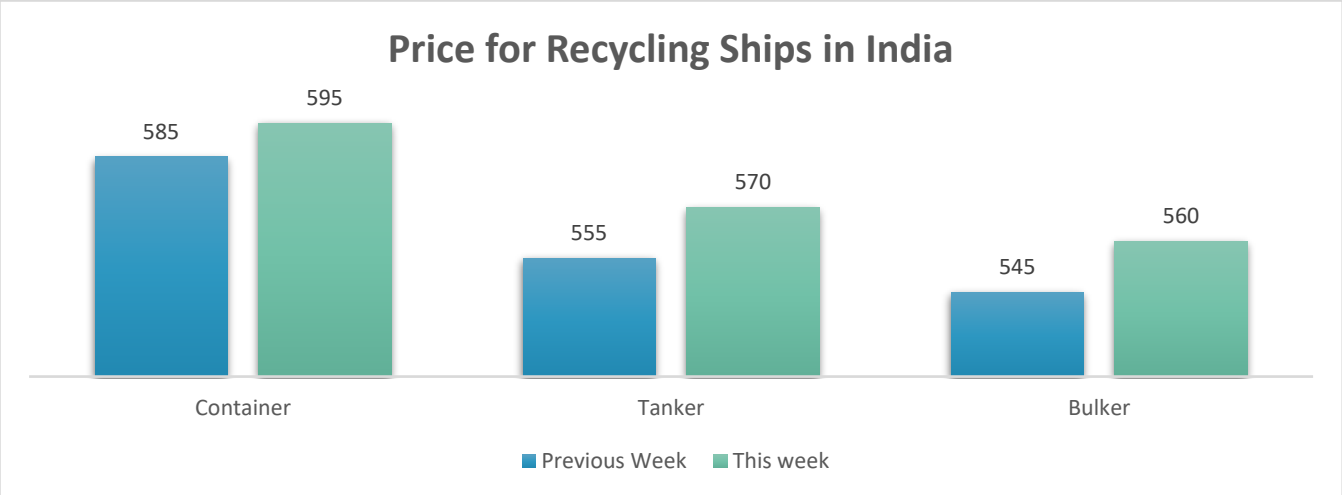
There is some optimism in the Crude Carrier market with the rising demand for oil as it may translate into a stronger freight market for the Tanker segment which has suffered a ravaging phase since the beginning of the pandemic.

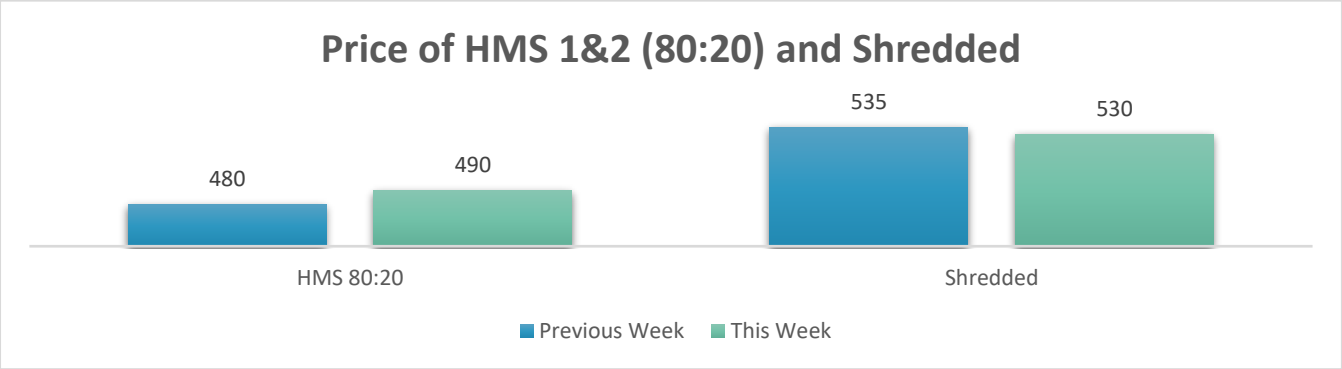
INDIA

Coal shortage leading to rise in Steel prices

Among the major three subcontinent recycling markets, India is showing a promising demand outlook especially for small and mid-sized units whereas there are not many takers for bigger tonnage due to the existing volatility in global commodity prices. There has been rising number of inquiries for available candidates backed by the stable demand for ship plates in the local market.

Domestic steel prices are expected to rise further due to coal shortage throughout the country. One month earlier, coal used to be in the range of USD 55-80/MT whereas it has now climbed to the range of USD 120-160/MT, leading to a significant production cut in the steel mills.





Beaching Dates:

4th October to 12th October 2021
19th October to 25th October 2021
3rd November to 11th November 2021

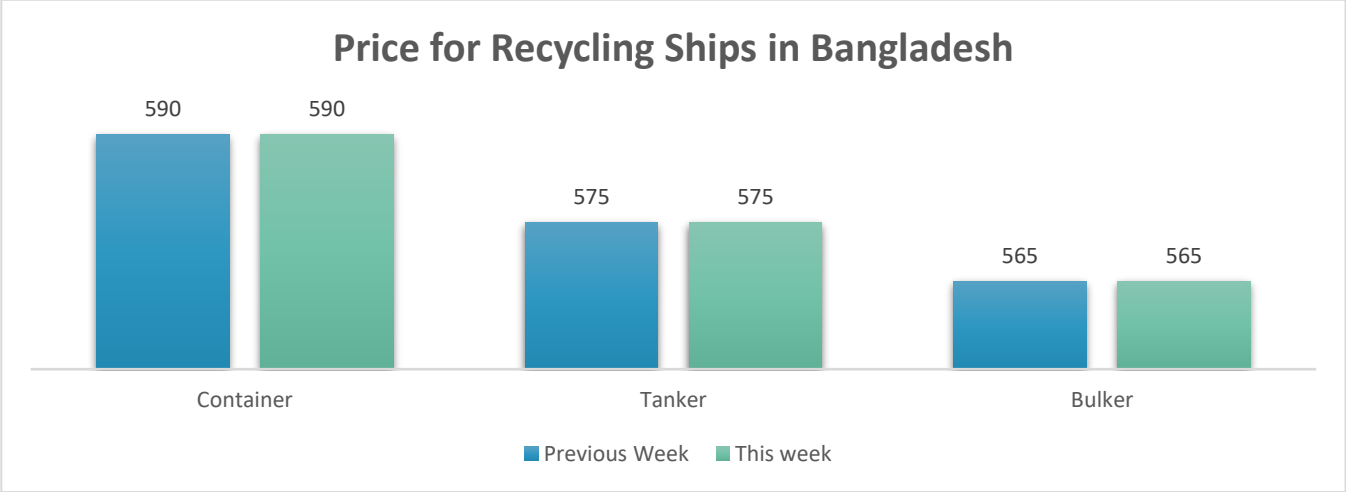
BANGLADESH

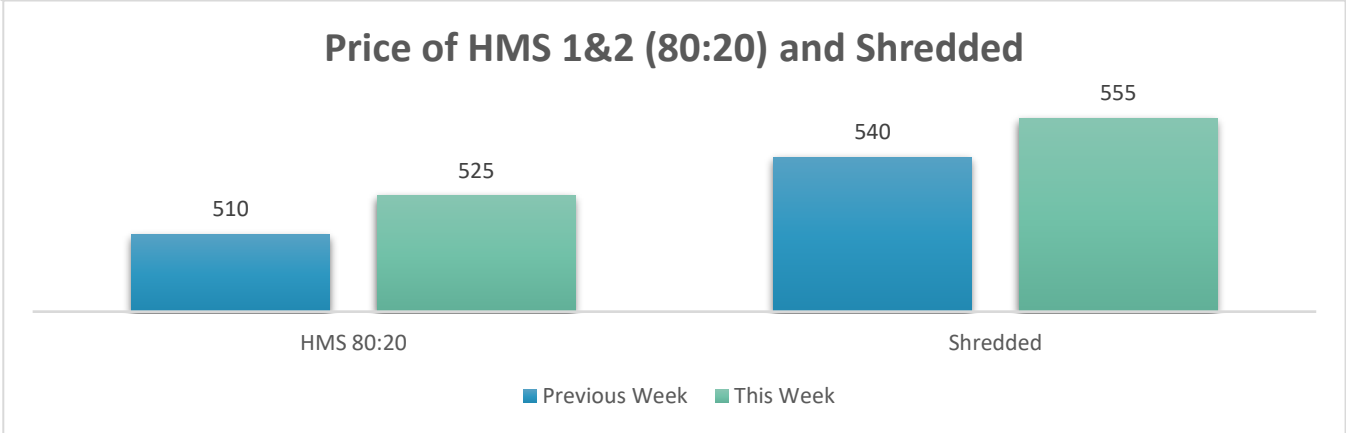
Demand curve remains flat

The hike in import scrap prices due to increased freight rates and local demand may get reflected in the ship plate prices as well. Currently the sentiments of ship recyclers remain dampened in Bangladesh with no upturn in the offer prices.

The volatility in global commodity prices is having a major impact on all industries of Bangladesh as the country relies heavily on imports to cater both for local and export markets. The factories are nervous to place advance orders as they are unsure about the price levels when the payments will be due for the orders.

Imported scrap prices have seen an increase of about USD 15/MT this week





Beaching Dates:

19th October to 22nd October 2021
4th November to 7th November 2021
17th November to 20th November 2021

PAKISTAN

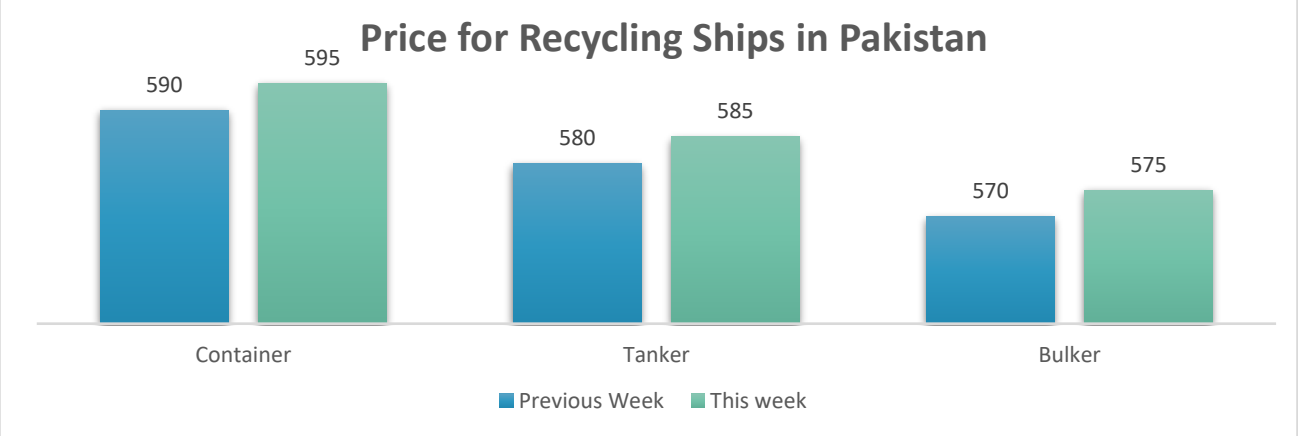
Ship Plate prices remain stable

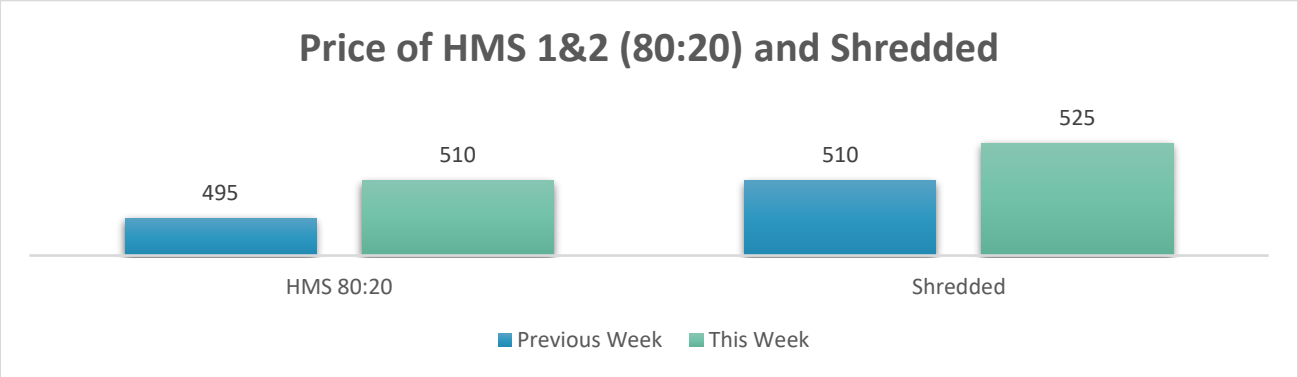
The operations in the recycling yards of Gadani are being affected due to sharp rise in prices of oxygen gas due to shortage of oxygen which many believe is a sham. According to some sources, the gas supply companies have formed a cartel and created artificial shortage to escalate the prices.

The demand for tonnage has remained stable with no notable improvement in offer prices.

Steel Mills may have to increase Rebar prices soon due to the recent hike in scrap prices. The weakening of Pakistani rupee against US Dollar has a direct impact on scrap prices as the importers have to make payment in USD.

The PKR which was trading at 152.28 in May this year has lost a significant value within few months adding a massive burden on the nation's foreign debt. It is currently trading at PKR 170.92/ USD.





Beaching Dates:
Throughout the month

TURKEY

Imported scrap prices climb on strengthened demand

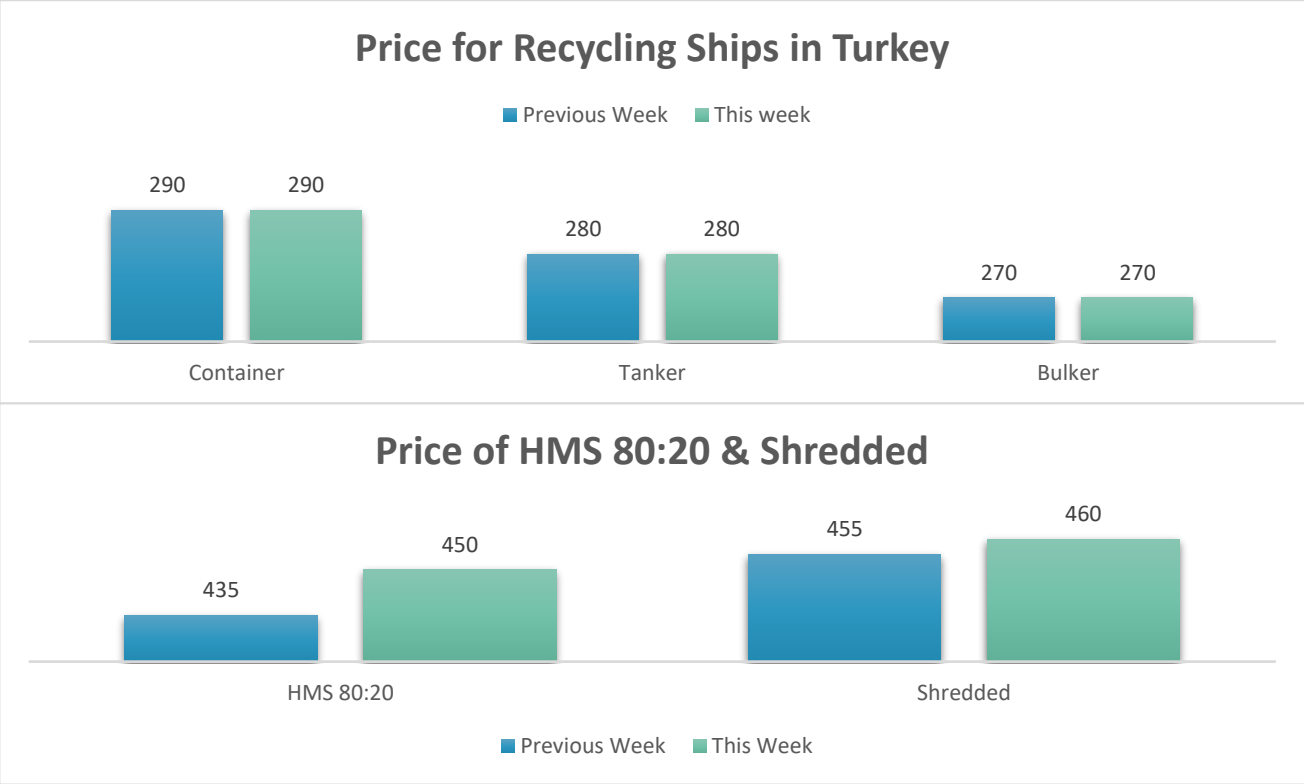
The imported scrap prices have jumped up by USD 15/MT this week backed by strong demand while the domestic scrap prices remained stable.

Steel billet prices are moving upwards in response to rising scrap and energy costs.

Turkish Lira slides to a record low this week touching 8.97 on concerns over monetary policy credibility as well as firmer dollar. It is currently trading at TL 8.93/USD.

Turkey's steel industry now stands as the No.1 exporting sector in the country after the export data of September have been released. The industry is growing by diversifying its export markets.

Turkey has exhausted its Q-4 European Union quota for Rebar and Wire Rod imports in the first two days of quarter beginning.

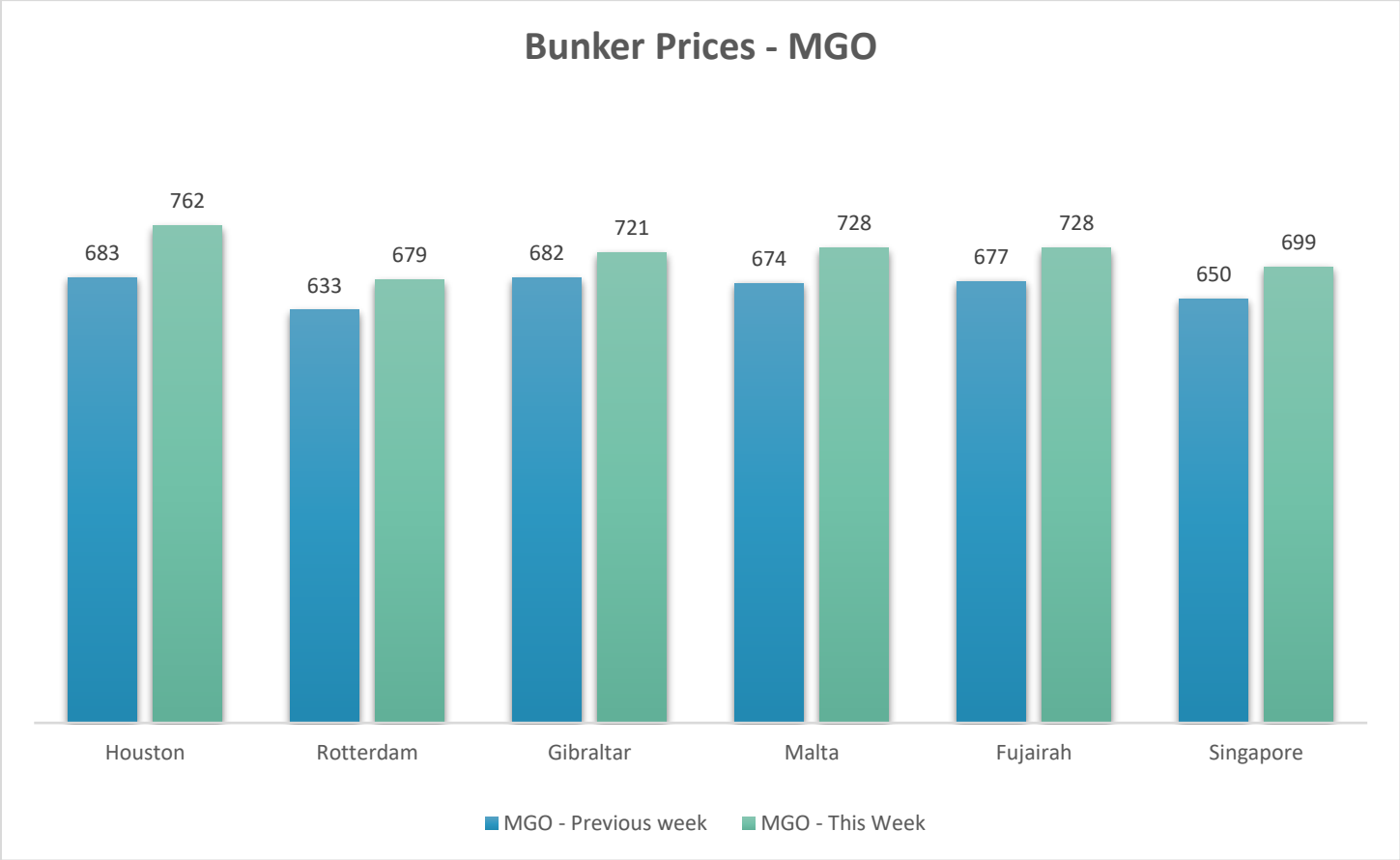


Beaching Dates:
Throughout the month

LIST OF VESSELS SOLD THIS WEEK

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
Vladimir Velikiy	Tanker	2002	S. Korea	24,850.00	As-Is	Batam	590
Saga Wave	General Cargo	1991	Japan	10,679.00	Delivered	India (For HKC ClassNK Only)	600
Tiina Too	Tanker	1992	Japan	2,762.00	Delivered	India	955

BUNKER PRICES AT PORT



CONTACT US

www.best-oasis.com

bol@bol.ae

GERMANY

Mr. Gerd Leopold
President (Purchase)
Phone: +49 417 188 0204
Mobile: +49 172 370 1021

U.A.E.

Mr. Naren Sampath
Ship Broker (Purchase)
Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker (Purchase)
Phone: +971 4575 4667
Mobile: +971 58 645 0162

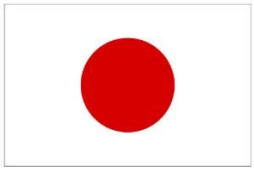
GREECE

Mr. Yiannis Kourkoulis
Vice President (Purchase)
Phone: +30 210 461 7999
Ext: 241
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commercial Executive
Phone: +30 210 461 7999
Ext: 243
Mobile: +30 694 484 3136

CHINA

Capt. Steven Xu
Company Representative
Mobile: +86 136 6600 0719
Email: capt.xu@139.com,
china@bol.ae



JAPAN

Mr. T Ishii
Company Representative
Phone: +81 354 522 405
Mobile: +81 901 536 1497
Email: ishii.i.i@ktd.biglobe.ne.jp

Disclaimer:

While every care has been taken to ensure that the information in this publication is accurate, Best Oasis Limited can accept no responsibility for any error or omissions or any consequences arising therefrom. Figures are based on latest available information, which is subject to subsequent revisions and corrections. The views expressed are those of Best Oasis Limited and do not necessarily reflect the views of any other associated company. Reproducing any material from this report without permission from Best Oasis Limited is strictly prohibited.